Jefferies

USA | Aerospace & Defense Electronics

Equity Research
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Mid Flight Report: Comm'l AM & OE Fly High in Q2 /w Defense Trailing

At the mid pt of June Q results, we read across for those remaining. **Comm'l AM** leads growth, +15% y-o-y (vs our est of +10%) w/ GE Services up 26% on ISVs +26% & spares implied +>25% followed by WWD +24%. 2026 guided +HSD-LDD on avg (est +12% vs +11% prior). **Comm'l OE** was +14% (est +16%) w/ BA +8% on 737 transitioning to 47/mo. **Defense Prime revs** grew 8%, with Suppliers tracking up 4%. **Defense IT** is mixed with PSN -1%/6% org and CACI est +7%.

Commercial AM +15%, Well Ahead of +10% Est So Far. Comm'l AM revs +15% y-o-y (vs our est +10%), after +17% in Q1:26 (est 10%). This is ahead of global RPKs +0.6% y-o-y in YTD:26 (Ex 2). So far in Q2, **GE Services** +26% w/ ISVs +24% & spares implied +>25%, followed by **WWD Commercial AM** +24%. **RTX P&W** +25% w/ PW1100 MRO output +43% incl 14pts higher heavy SVs, while **RTX Collins** grew 10% w/ parts & repair +11% (2/3rds of AM), provisioning +7%, and mods/upgrades 11%. **Safran Propulsion Services** +28% org in H1:2026. Still to report are **LOAR** est +11% org with M&A contributing 20pts to Q2 revs (LMB/Harper), w/ **HEI FSG** est +10% in its FQ3.

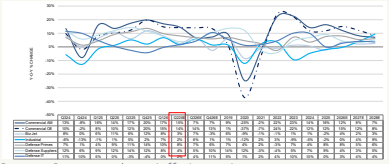
Commercial AM Expected +12% in 2026 (vs +11% Prior) w/ Guidance Pointing to HSD-LDD on Avg. JEFe 2026 comm'l AM ests are now +12% (vs +11% prior) after upward revisions from **GE Services** guided 2026 +low-20% (est +22%) and **RTX** Collins AM to +HSD-LDD org (from +HSD prior). Elsewhere, **WWD** narrowed aero guide to +21-23% y-o-y (from 21-24%). Growth is guided up HSD for **RTX** P&W AM, maintained from last Q. **TDG** raised guide to +LDDs from +HSD-Low-DDs and YTD +13%. **LOAR** guided 2026 +LDD (est +10% org) supported by ~3pts of new product introduction revs.

OE Revs Up 14% So Far in Q2 on Rate Progress. Comm'l OE revs +14% y-o-y in Q2, slightly below our +15% est w/ growth driven by **WWD** OE +34% on the back of production rate ramps w/ **BA** +8% on 171 deliveries (+14% vs 150 in Q2:25) and 737 transitioning to 47/mo and 787 stabilizing at 8/mo as of Q2:26. **RTX P&W** large comm'l OE contracted 8% y-o-y on deliveries +15% y-o-y impacted by mix, w/ GTF still guided up M-HSD y-o-y (implied 1,100-1,150) and **Collins** OE +26% on higher NB/WB vols. **HXL** grew 18% in Q2 w/ growth across all of its major programs while **GE Engines** revs grew 30% on units +26% y-o-y to 659, rasing 2026 Comm'l Engines guidance to ~20% y-o-y (from +Mid/High-Teens).

Defense Primes +8% in Q2 Ahead of +7% Est. Broadly, defense has grown 8% so far in Q2 w/ Suppliers +4% (est +4%) and Primes +8% (est +7%). Across the Primes, **BA Defense** led +13% driven by classified programs, missiles and weapons, and higher KC-46 tanker volume. **GD Defense** +7% on Marine +10% & Combat flat. **RTX Raytheon** grew +9% on higher land & air defense systems and naval munitions driving '26 guidance raised to +HSD-LDD (from +HSD). **NOC** grew +5% in Q2 led by B-21 and **LMT** was higher, up 11% on missiles demand.

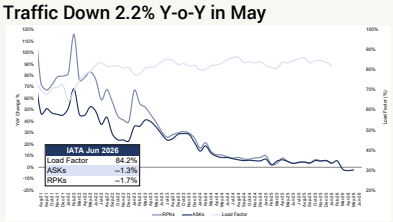
IT Services Tracking Up 2% But CACI Likely Stand Out. GDIT grew +4% at $3.6BB in ***Q2,*** led by Mission Systems w/ a 1.1X B2B. **PSN**'s Q2 decreased 1% y-o-y and 6% organically, although excluding the FS confidential contract and portfolio shaping actions, revenue increased 8% y-o-y and 3% organically. **LDOS** revs increased 3.9% organically (7% including ENTRUST), driven by the company's Homeland segment up 15% organically, Defense up +6.2%, and Health revs down 7.6%, with 2026 revenue guidance raised by +$20MM. **CACI**'s 7% est org growth is likely best in class in FY26, with 10% organic expected this quarter. Across the group, we est 2026E +3% following 2025

Exhibit 1 - Revenue by End Market - Commercial AM (+15%) and OE (+14%) Lead Thus Far in Q2 on Production Ramps & Continued AM Demand



Source: Company data, Jefferies estimates

Exhibit 2 - IATA Air Traffic vs. Capacity - Air Traffic Down 2.2% Y-o-Y in May



Source: IATA, Jefferies estimates

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~flat with another year of decline for **SAIC** (-2%) offset by **CACI** (+7% in FY26), **LDOS** (+3%), and **GDIT** (+4%).

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Commercial OE Commentary: +33% vs +31% Est

- **= BA:** "Clicking down on commercial program performance and starting with the 737, we delivered 129 airplanes in the quarter and remain on track to deliver 500 airplanes this year. Kelly highlighted the certification progress we have made on the 737-10, and we will continue to ramp up 737-10 production in the second half of the year."
- **= BA:** "Turning to the 787, we delivered 25 airplanes, including 13 in June, and remain on track to deliver 90 to 100 airplanes this year. As Kelly mentioned, during the quarter we stabilized production at eight per month. At the end of the quarter, we also made important progress on seat certification. In June, Riyadh Air took delivery of its first 787 Dreamliners, airplanes that were previously built but awaiting seat certification."
- **+ GE:** "Equipment revenue grew 30% with engine deliveries up 26%, including LEAP up 24%. Wide body deliveries were up 30% with the GEnx up significantly more."
- **+ HXL:** "At their investor day at the Farnborough Airshow, Airbus was particularly bullish on the A350, Hexcel's largest program. Against this backdrop, airlines continue to need newer, more fuel efficient aircraft and that aligns directly with Hexcel's value proposition."
- **+ HXL:** "On the A350 program specifically, we continue to see demand signals that support our outlook of 80 shipsets in 2026. While there can be a perceived disconnect at times between our order profile and current OEM deliveries, our demand is tied to production activity in the supply chain and we remain confident in our 2026 A350 guidance of at least 80 aircraft. "
- **+ HXL:** "And then the other major program I'd say that's increased is the 737. We saw that pulling at just above 42 for the quarter. And Boeing has said themselves that they're expecting that 500, and that's what we're expecting as well then."
- **+ RTX:** "Breaking this down further, we now expect commercial OE sales to grow mid to high single-digits, up from the prior expectation of mid-single-digits, primarily attributable to the production ramp at Collins."

Commercial Aftermarket Commentary: +21% Ahead of +10% Estimate

Here are some Commercial Aftermarket comments we found interesting:

- **+ GE:** "Services grew 26%. Internal shop visit revenue grew 25% from higher volume, including LEAP internal shop visits up over 50% and widebody mix. Spare parts sales increased over 25% from improved material availability that helped us fulfill strong customer demand, growth in LEAP external channel and price."
- **+ GE:** "While the environment remains dynamic, aftermarket demand has been resilient. First half departures were roughly flat, but we have not observed any changes in customer behavior. We expect a gradual return to modest departures growth in the second half. And combined with our commercial services backlog of roughly $170 billion, we remain well positioned for services growth in 2026 and beyond."
- **+ GE:** "Given the sustained demand environment and existing delinquency, we are entering third quarter with more than 95% of spare parts revenue in backlog, similar to second quarter. Engines already off wing and the pipeline of planned removals in the third quarter exceed our full year shop visit guide by over 40%."
- **+ RTX:** "Across commercial aerospace, aftermarket continues to be strong and passenger air travel remains resilient. For the year, global RPKs are expected to grow in all regions outside of the Middle East and engine retirements have remained relatively low, both factors that support our outlook for strong commercial aftermarket growth this year."

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- **+ RTX:** "For Pratt, we're taking up the top-line by about $900 million at the midpoint. The vast majority of that is aftermarket and it's really on the back of that higher work scope."

Business Jet Commentary: +10% vs +7% Expected

- **= GD:** "For 2026, we now expect Aerospace revenue of around $13.8 billion. Gulfstream will still deliver about 160 airplanes. There is some potential upside delivering large cabin aircraft and some risk on the G280 deliveries for obvious reasons."
- **+ GD: "**Aerospace had a 1.5 times book to bill in the quarter, with 16 more airplane orders than the year ago quarter and 20 more than the first quarter of this year. The book to bill over the trailing 12 months is 1.3 times. So we see very active interest across all models in the US and Asia, but some cautious concern from customers in the Mid East. But they're still active in the pipeline."
- **= TXT:** "We delivered 40 jets and 44 commercial turboprops in the quarter compared to 49 jets and 34 commercial turboprops in last year's second quarter."
- **+ TXT:** "Textron Aviation had $1.5 billion of revenue in the second quarter, up 1% from the prior year, reflecting higher revenue for both aircraft and aftermarket. Demand across jets and turboprops continued to be robust during the quarter, supporting a backlog of $8 billion."

Defense Suppliers +9% vs +8% Expected w/ Primes +13% vs +7% Expected

Comments on Defense Demand:

- **= GD:** "Combat Systems had revenue of $2.3 billion, up marginally over the year-ago quarter. Earnings of $318 million are down $6 million. Margins of 13.9% are down 30 basis points against the year-ago quarter, due largely to mix. There was increased revenue performance at Ordnance and Tactical Systems and European Land Systems, offset by a decline at Land Systems."
- ***+ GD: "***Demand for Combat Systems products is strong, primarily driven by US allies. Orders for wheeled and tracked vehicles are up, reflecting the increased threat environment. In addition, OTS continues to have particularly strong growth in munitions."
- **= GD:** "The Marine group has been on a remarkable growth journey. Our outlook for the year now anticipates revenue around $18 billion with an operating margin for the year of 7.4%."
- ***+ GD: "***In the Defense segment, book-to-bill was 1.4 times, led by the Combat Systems segment at 2.1 times, which received several large contracts, including the production of new armored combat support vehicles, ACSVs, for the Canadian Armed Forces. We ended the quarter with a record level of backlog of $136.5 billion, up 32% from a year ago."
- **+ GE:** "Defense book-to-bill was 1 in the quarter and 1.7 in the first half. Total DPT backlog was over $30 billion, up roughly $5 billion since the start of the year. Revenue grew 16%. Defense & Systems revenue was up 12%, driven by growth in both services and equipment with engine deliveries up 7%. Propulsion & Additive Technologies grew 23% with growth led by Avio Aero. Profit grew 18% and margins were up 30 basis points to 13.8% from increased volume and price, partially offset by mix, investments and inflation."
- **+ LMT:** MFC had very strong growth in the second quarter. Sales were up 19% and profit was up 24% year-over-year, fueling a raise to our full year outlook as the cadence of munitions production continues to accelerate. MFC's sales range has been adjusted to $16.5 billion to $16.9 billion, lifting the low end of our prior guidance. And the profit range is now $2.3 billion to $2.35 billion, reflecting continued mid-teens margin performance. Through the first half of 2026, MFC has grown sales 14% year-over-year. And at this updated outlook level, the second half 2026 growth rate will be even faster.
- **+ LMT:** "We recorded sales of $20.1 billion, a $1.9 billion or 11% increase over the same period last year. This growth was primarily driven by accelerating munition programs in MFC and further

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supported by all other segments, including strong performance in F-35 production in Aeronautics, the MIC2 portfolio in RMS, and the strategic and missile defense programs in Space."

- **+ LMT:** In late June, the Missile Defense Agency awarded a seven-year contract for $35 billion to quadruple production of THAAD interceptors, marking the next of the munitions frameworks to transition to a contract. Alongside THAAD, the Army awarded a GMLRS production contract at $3 billion, covering the current version and its newly developed successor, which will have twice the range from the same launcher. We also secured a HIMARS award valued at up to $1.1 billion for the US Army, Marine Corps and up to five allied nations.
- **+ LMT:** "We're being asked to triple PAC-3 MSE production, quadruple THAAD production, and scale up PrSM production faster than we ever thought we would."
- **+ NOC:** "We delivered $20 billion in net awards in the quarter, driving a book-to-bill ratio of 1.84 times. Backlog continues to grow, including a new record high of $105 billion and we expect continued strong bookings for the remainder of the year as well as increased momentum in government outlays."
- **+ NOC:** "In total, we have ten multi-year agreements for missile acceleration in work across the portfolio, with up to $10 billion of sales opportunity over the next seven years."
- **+ RTX:** "In the first half of the year, Raytheon booked over $10 billion of international awards, which is up more than 2x year-over-year, including over $7 billion from our European customers."
- **+ RTX:** "On the defense side, our significant awards in the quarter reinforced the global needs for our proven capabilities. Domestically, we're encouraged to see bipartisan support for a significant increase in 2027 defense spending. The base budget request of $1.1 trillion represents a roughly 25% increase year-over-year, along with meaningful increases in funding for RTX priority programs including Tomahawk, LTAMDS, and Standard Missile."
- **+ TXT:** "Moving over to Bell, we had another quarter of solid growth with revenue up 6% from a year ago, driven by increased military and commercial revenue. We continue to make progress on the MV-75 Cheyenne program, which remains a key long-term growth driver for our company."

Industry Drivers

Our commercial aircraft delivery forecast estimates total deliveries in 2026 of 1,677 are up 11% y-o-y from 1,511 in 2025 and slightly above the peak of 1,734 in 2018. 2025 deliveries were up 22% y-o-y driven by widebodies up 43%, as well as the absence of the BA strike impact to MAX.

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Exhibit 3 - Total Commercial Aircraft Delivery Forecast - Deliveries Expected to Reach 2018 Peak in 2026E

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing:													
707	-	-	-	-	-	-	-	-	-	-	-	-	-
717	-	-	-	-	-	-	-	-	-	-	-	-	-
737	580	127	43	263	387	396	265	447	499	588	624	630	648
747	6	7	5	7	5	1	-	-	-	-	-	-	-
757	-	-	-	-	-	-	-	-	-	-	-	-	-
767	27	43	30	32	33	32	18	30	36	24	15	15	15
777	48	45	26	24	24	26	14	35	24	18	12	-	-
777X							-	-	-	20	42	60	72
787	145	158	53	14	31	73	51	88	100	111	120	132	144
Total Boeing	**806**	**380**	**157**	**340**	**480**	**528**	**348**	**600**	**659**	**761**	**813**	**837**	**879**
Airbus:													
A300	-	-	-	-	-	-	-	-	-	-	-	-	-
A310	-	-	-	-	-	-	-	-	-	-	-	-	-
A220	33	48	38	50	53	68	75	93	105	120	135	150	150
A318	-	-	-	-	-	-	-	-	-	-	-	-	-
A319	8	6	3	4	6	7	7	12	2	2	2	2	2
A320	417	430	256	258	246	247	260	270	280	300	300	250	250
A321	201	206	187	221	264	317	332	298	283	308	366	477	486
A321XLR	-	-	-	-	-	-	3	27	90	115	125	125	125
A330	49	53	19	18	32	32	32	36	43	44	49	51	55
A340	-	-	-	-	-	-	-	-	-	-	-	-	-
A350	93	112	59	55	62	64	57	57	67	80	90	112	132
A380	12	8	4	5	-	-	-	-	-	-	-	-	-
Total Airbus	**813**	**863**	**566**	**611**	**663**	**735**	**766**	**793**	**870**	**969**	**1,067**	**1,167**	**1,200**
COMAC:													
C919	-	-	-	-	1	2	13	14	35	45	55	60	65
Total Mainline	**1,619**	**1,243**	**723**	**951**	**1,144**	**1,265**	**1,127**	**1,407**	**1,564**	**1,775**	**1,935**	**2,064**	**2,144**
Regional Jets:													
C909	6	11	22	21	34	22	35	24	33	45	50	50	50
Embraer	90	89	44	48	56	63	72	80	80	85	95	100	105
Bombardier	19	26	16	2	-	-	-	-	-	-	-	-	-
MHI	-	-	-	-	-	-	-	-	-	-	-	-	-
British Aerospace	-	-	-	-	-	-	-	-	-	-	-	-	-
Fokker/Other	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Regional	**115**	**126**	**82**	**71**	**90**	**85**	**107**	**104**	**113**	**130**	**145**	**150**	**155**
Total Deliveries	**1,734**	**1,369**	**805**	**1,022**	**1,234**	**1,350**	**1,234**	**1,511**	**1,677**	**1,905**	**2,080**	**2,214**	**2,299**
Y-o-Y % Change (Total, Incl. Regionals)	*7%*	*-21%*	*-41%*	*27%*	*21%*	*9%*	*-9%*	*22%*	*11%*	*14%*	*9%*	*6%*	*4%*
Y-o-Y % Change (Widebody)	*-4%*	*12%*	*-54%*	*-21%*	*21%*	*22%*	*-25%*	*43%*	*10%*	*10%*	*10%*	*13%*	*13%*
Y-o-Y % Change (Narrowbody)	*12%*	*-34%*	*-35%*	*51%*	*20%*	*8%*	*-8%*	*22%*	*11%*	*14%*	*9%*	*5%*	*2%*

Source: Company data, Jefferies estimates

On **737 MAX**, we estimate 492 deliveries in 2026 (~41/mo), stepping up from 440 in 2025 (37/mo). Production is expected a 44/mo in 2026E, slightly ahead of deliveries. BA produced around 43/mo in Q2 from ~38/mo in Q1 with our estimate moderating to 41/mo in Q3 vs commentary of a current rate of ~42/mo. 2025 production averaged 33/mo on our model.

On **787**, our estimates factor in 100 deliveries during 2026 (vs 88 in 2025). For production, we estimate 96 builds in 2026 (8/mo), climbing from 70 (5.8/mo) in 2025. Q2 was at ~8/mo on our estimate, slightly abpve 7/mo in Q1.

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Exhibit 4 - Delivery and Production Forecast - MAX Ramp Approaching 42/mo, 787 Ramping From Lower Baseline

Delivery

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	1	2	2	2	1	2	2	2
737 MAX	104	102	119	115	113	119	123	137
747	-	-	-	-	-	-	-	-
767	5	9	6	10	6	9	9	12
777	7	13	9	6	8	6	6	4
777X	-	-	-	-	-	-	-	-
787	13	24	24	27	15	25	25	35
Total Boeing	**130**	**150**	**160**	**160**	**143**	**161**	**165**	**190**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	9	5	7	7	-	-	-	-
737 MAX	387	260	440	492	588	624	630	648
747	1	-	-	-	-	-	-	-
767	32	18	30	36	24	15	15	15
777	26	14	35	24	18	12	-	-
777X	-	-	-	-	20	42	60	72
787	73	51	88	100	111	120	132	144
Total Boeing	**528**	**348**	**600**	**659**	**761**	**813**	**837**	**879**

Per Month

2023	2024	2025	2026E	2027E	2028E	2029E	2030E
0.8	0.4	0.6	0.6	0.0	0.0	0.0	0.0
32.3	21.7	36.7	41.0	49.0	52.0	52.5	54.0
0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
2.7	1.5	2.5	3.0	2.0	1.3	1.3	1.3
2.2	1.2	2.9	2.0	1.5	1.0	0.0	0.0
0.0	0.0	0.0	0.0	1.7	3.5	5.0	6.0
6.1	4.3	7.3	8.3	9.3	10.0	11.0	12.0
44.0	**29.0**	**50.0**	**54.9**	**63.4**	**67.8**	**69.8**	**73.3**

Production

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	1	2	2	2	1	2	2	2
737 MAX	72	97	109	112	123	126	135	139
747	-	-	-	-	-	-	-	-
767	5	5	8	12	8	8	8	4
777	6	6	6	6	4	5	6	5
777X	1	1	2	2	2	4	6	6
787	15	15	20	20	21	24	25	26
Total Boeing	**100**	**126**	**147**	**154**	**159**	**169**	**182**	**182**
Airbus								
A220	17	24	13	39	19	26	24	36
A320 Family	106	126	186	189	81	139	208	227
A330	4	8	12	12	3	13	10	17
A350	9	12	15	21	11	15	15	26
A380	-	-	-	-	-	-	-	-
Total Airbus	**136**	**170**	**226**	**261**	**114**	**193**	**257**	**306**
Total BA + Airbus	**236**	**296**	**373**	**415**	**273**	**362**	**439**	**488**
Narrowbody	**196**	**249**	**310**	**342**	**224**	**293**	**369**	**404**
Widebody	**40**	**47**	**63**	**73**	**49**	**69**	**70**	**84**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	9	5	7	7	-	-	-	-
737 MAX	337	195	390	523	564	588	624	648
747	1	-	-	-	-	-	-	-
767	32	26	30	28	24	15	15	15
777	24	20	24	20	14	12	-	-
777X	-	6	6	18	24	36	48	60
787	33	46	70	96	108	120	132	144
Total Boeing	**436**	**298**	**527**	**692**	**734**	**771**	**819**	**867**
Airbus								
A220	68	75	93	105	120	135	150	150
A320 Family	571	602	607	655	725	793	854	863
A330	32	32	36	43	44	49	51	55
A350	64	57	57	67	80	90	112	132
A380	-	-	-	-	-	-	-	-
Total Airbus	**735**	**766**	**793**	**870**	**969**	**1,067**	**1,167**	**1,200**
Total BA + Airbus	**1,171**	**1,064**	**1,320**	**1,562**	**1,703**	**1,838**	**1,986**	**2,067**
Narrowbody	**985**	**877**	**1,097**	**1,290**	**1,409**	**1,516**	**1,628**	**1,661**
Widebody	**186**	**187**	**223**	**272**	**294**	**322**	**358**	**406**

Per Month

2023	2024	2025	2026E	2027E	2028E	2029E	2030E
0.8	0.4	0.6	0.6	0.0	0.0	0.0	0.0
28.1	16.3	32.5	43.6	47.0	49.0	52.0	54.0
0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
2.7	2.2	2.5	2.3	2.0	1.3	1.3	1.3
2.0	1.7	2.0	1.7	1.2	1.0	0.0	0.0
0.0	0.5	0.5	1.5	2.0	3.0	4.0	5.0
2.8	3.8	5.8	8.0	9.0	10.0	11.0	12.0
36.3	**24.8**	**43.9**	**57.7**	**61.2**	**64.3**	**68.3**	**72.3**
5.9	6.5	8.1	9.1	10.4	11.7	13.0	13.0
49.7	52.3	52.8	57.0	63.0	69.0	74.3	75.0
2.9	2.9	3.3	3.9	4.0	4.5	4.6	5.0
5.8	5.2	5.2	6.1	7.3	8.2	10.2	12.0
0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
61.3	**63.8**	**66.1**	**72.5**	**80.8**	**88.9**	**97.3**	**100.0**

Inventory

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	-	-	-	-	-	-	-	-
737 MAX	103	98	88	85	95	102	114	116
747	-	-	-	-	-	-	-	-
767	8	4	6	8	10	9	8	-
777	15	8	5	5	1	-	-	1
777X	35	36	38	40	42	46	52	58
787	57	48	44	37	43	42	42	33
Total Boeing	**218**	**194**	**181**	**175**	**191**	**199**	**216**	**208**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	-	-	-	-	-	-	-	-
737 MAX	200	135	85	116	92	56	50	50
747	-	-	-	-	-	-	-	-
767	-	8	8	-	-	-	-	-
777	10	16	5	-	-	-	-	-
777X	28	34	40	58	62	56	44	32
787	60	55	37	33	30	30	30	30
Total Boeing	**298**	**248**	**175**	**207**	**184**	**142**	**124**	**112**

Source: Company data, Jefferies estimates

Our air traffic model assumes 2.5% growth relatively balanced between Domestic and International in 2026E.

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Exhibit 5 - Jefferies Air Traffic Model - 2026 Growth of 5.1% Driven by International +5.3% w/Domestic +4.8%

Domestic vs. International Air Traffic

RPKs (BBs)

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	3,118	1,596	2,238	2,481	3,236	3,420	3,502	3,649	3,795	3,947	4,105	4,259
International	5,470	1,344	1,349	3,409	4,841	5,499	5,894	5,979	6,410	6,825	7,239	7,652
Total RPKs	**8,588**	**2,940**	**3,583**	**5,888**	**8,077**	**8,920**	**9,396**	**9,628**	**10,206**	**10,772**	**11,344**	**11,911**

RPK Growth

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	4.5%	-48.8%	40.2%	10.9%	30.4%	5.7%	2.4%	4.2%	4.0%	4.0%	4.0%	3.8%
International	4.1%	-75.6%	0.4%	152.7%	41.6%	13.6%	7.1%	1.4%	7.2%	6.5%	6.1%	5.7%
Total Change	**4.2%**	**-65.8%**	**21.9%**	**64.3%**	**36.9%**	**10.4%**	**5.3%**	**2.5%**	**6.0%**	**5.5%**	**5.3%**	**5.0%**

Total RPKs as Percentage of 2019

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic		51%	72%	80%	104%	110%	112%	117%	122%	127%	132%	137%
International		25%	25%	62%	88%	101%	108%	109%	117%	125%	132%	140%
Total Change		**34%**	**42%**	**69%**	**94%**	**104%**	**109%**	**112%**	**119%**	**125%**	**132%**	**139%**

RPK Composition

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	36%	54%	62%	42%	40%	38%	37%	38%	37%	37%	36%	36%
International	64%	46%	38%	58%	60%	62%	63%	62%	63%	63%	64%	64%
Total Change	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

ASKs (BBs)

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	3,728	2,397	3,012	3,142	3,968	4,067	4,169	4,273	4,444	4,622	4,806	4,999
International	6,643	2,102	2,337	4,338	5,827	6,577	7,024	7,048	7,560	8,070	8,568	9,041
Total ASKs	**10,371**	**4,499**	**5,349**	**7,480**	**9,795**	**10,644**	**11,192**	**11,321**	**12,004**	**12,692**	**13,375**	**14,040**

ASK Growth

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	3.7%	-35.7%	25.7%	4.3%	26.3%	2.5%	2.5%	2.5%	4.0%	4.0%	4.0%	4.0%
International	3.1%	-68.1%	9.3%	85.2%	34.4%	12.8%	6.8%	0.4%	7.3%	6.8%	6.2%	5.5%
Total Change	**3.3%**	**-56.6%**	**18.9%**	**39.8%**	**31.0%**	**8.7%**	**5.2%**	**1.2%**	**6.0%**	**5.7%**	**5.4%**	**5.0%**

Total ASKs as Percentage of 2019

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic		64%	81%	84%	106%	109%	112%	115%	119%	124%	129%	134%
International		32%	35%	65%	88%	99%	106%	106%	114%	121%	129%	136%
Total Change		**43%**	**52%**	**72%**	**94%**	**103%**	**108%**	**109%**	**116%**	**122%**	**129%**	**135%**

Load Factor

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	83.7%	66.6%	74.3%	78.9%	81.5%	83.8%	83.7%	85.4%	85.4%	85.4%	85.4%	85.2%
International	82.0%	62.8%	58.0%	78.5%	82.8%	83.3%	83.5%	84.8%	84.8%	84.6%	84.5%	84.6%
Total Load Factor	**82.8%**	**65.1%**	**67.2%**	**78.7%**	**82.3%**	**83.5%**	**83.6%**	**85.0%**	**85.0%**	**84.9%**	**84.8%**	**84.8%**

Source: IATA, Jefferies estimates

Our business jet delivery forecast assumes total deliveries rise 1% in 2026, following 14% growth in 2025, as deliveries continue to ramp with new models including Gulfstream's G800 (EIS Q4:25) and TXT's Citation Ascend (EIS Dec '25), as well as the conversion of strong backlogs.

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Exhibit 6 - Annual Business Jet Deliveries Forecast - Deliveries Expected Up 1% in 2026 Following 14% in 2025

Annual Business Jet Deliveries																						
	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Airbus	12	9	11	13	9	9	6	5	4	1	0	1	6	5	5	8	4	2	8	2	2	2
Boeing	7	6	4	10	8	12	7	10	11	4	10	6	2	1	4	2	1	6	0	6	6	6
Bombardier	226	247	173	150	182	181	179	204	199	163	140	137	142	114	120	123	138	146	157	155	155	155
Cessna	388	466	289	178	183	181	139	159	166	178	180	188	206	132	167	178	168	151	171	175	192	210
Dassault	70	72	77	95	63	66	77	66	55	49	49	41	40	34	30	32	26	31	37	41	43	46
Embraer	36	38	122	145	99	99	119	116	120	117	109	91	109	86	93	102	115	130	155	155	157	160
Gulfstream	138	156	94	99	99	94	144	150	152	121	120	121	147	127	119	120	111	136	158	162	165	170
Hawker Beechcraft	162	160	98	73	52	32	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total	**1,039**	**1,154**	**868**	**763**	**695**	**675**	**677**	**710**	**707**	**633**	**608**	**585**	**652**	**499**	**538**	**565**	**563**	**602**	**686**	**696**	**720**	**749**
% Y-o-Y Change	*18%*	*11%*	*-25%*	*-12%*	*-9%*	*-3%*	*0%*	*5%*	*0%*	*-10%*	*-4%*	*-4%*	*11%*	*-23%*	*8%*	*5%*	*0%*	*7%*	*14%*	*1%*	*3%*	*4%*
Revenues in $BB	*$19.1*	*$20.4*	*$12.9*	*$15.9*	*$17.5*	*$18.0*	*$20.9*	*$22.3*	*$23.7*	*$21.2*	*$20.0*	*$18.5*	*$19.8*	*$17.7*	*$18.8*	*$19.8*	*$19.7*	*$22.6*	*$28.0*	*$28.5*	*$28.9*	*$29.5*

% YoY Change																						
	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Airbus	20%	-25%	22%	18%	-31%	0%	-33%	-17%	-20%	-75%	--	--	500%	-17%	0%	60%	-50%	-50%	300%	-75%	0%	0%
Boeing	-46%	-14%	-33%	150%	-20%	50%	-42%	43%	10%	-64%	150%	-40%	-67%	-50%	300%	-50%	-50%	500%	-100%	--	0%	0%
Bombardier	6%	9%	-30%	-13%	21%	-1%	-1%	14%	-2%	-18%	-14%	-2%	4%	-20%	5%	2%	12%	6%	8%	-1%	0%	0%
Cessna	27%	20%	-38%	-38%	3%	-1%	-23%	14%	4%	7%	1%	4%	10%	-36%	27%	7%	-6%	-10%	13%	2%	10%	9%
Dassault	15%	3%	7%	23%	-34%	5%	17%	-14%	-17%	-11%	0%	-16%	-2%	-15%	-12%	7%	-19%	19%	19%	11%	5%	7%
Embraer	33%	6%	221%	19%	-32%	0%	20%	-3%	3%	-3%	-7%	-17%	20%	-21%	8%	10%	13%	13%	19%	0%	1%	2%
Gulfstream	22%	13%	-40%	5%	0%	-5%	53%	4%	1%	-20%	-1%	1%	21%	-14%	-6%	1%	-8%	23%	16%	3%	2%	3%
Total	**18%**	**11%**	**-25%**	**-12%**	**-9%**	**-3%**	**0%**	**5%**	**0%**	**-10%**	**-4%**	**-4%**	**11%**	**-23%**	**8%**	**5%**	**0%**	**7%**	**14%**	**1%**	**3%**	**4%**

% Market Share of Deliveries																						
	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Airbus	1%	1%	1%	2%	1%	1%	1%	1%	1%	0%	0%	0%	1%	1%	1%	1%	1%	0%	1%	0%	0%	0%
Boeing	1%	1%	0%	1%	1%	2%	1%	1%	2%	1%	2%	1%	0%	0%	1%	0%	0%	1%	0%	1%	1%	1%
Bombardier	22%	21%	20%	20%	26%	27%	26%	29%	28%	26%	23%	23%	22%	23%	22%	22%	25%	24%	23%	22%	22%	21%
Cessna	37%	40%	33%	23%	26%	27%	21%	22%	23%	28%	30%	32%	32%	26%	31%	32%	30%	25%	25%	25%	27%	28%
Dassault	7%	6%	9%	12%	9%	10%	11%	9%	8%	8%	8%	7%	6%	7%	6%	6%	5%	5%	5%	6%	6%	6%
Embraer	3%	3%	14%	19%	14%	15%	18%	16%	17%	18%	18%	16%	17%	17%	17%	18%	20%	22%	23%	22%	22%	21%
Gulfstream	13%	14%	11%	13%	14%	14%	21%	21%	21%	19%	20%	21%	23%	25%	22%	21%	20%	23%	23%	23%	23%	23%
Hawker Beechcraft	16%	14%	11%	10%	7%	5%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company data, Jefferies estimates

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(Article 3(1)e and Article 7 of MAR)

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
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